

Caris Life Sciences

NASDAQ : CAI \$5.2B mkt cap · 278M sh · \$800M cash, \$378M debt · FY25 revenue \$812M (+97%!); GM 47%→65%; adj-EBITDA +\$138M; FCF-POSITIVE, · Mature- near GAAP breakeven; IPO Jun-2025 @ \$21; now \$18.33 (~13% below offer); FY26 guide \$1.0-1.02B (+24%); ~\$0.42B net cash; Halbert Company DCF~42% vote; SBC ~\$70M flatters adj-EBITDA; ~\$33M of FY25 rev was reimbursement true-ups

\$18.75

THE CENTRAL QUESTION

Caris trades at ~6.5x sales like Tempus, yet screens positive where Tempus screened rich — is being FCF-positive at GAAP breakeven, with a real 47%-to-65% margin inflection, enough to justify the price?

Caris Life Sciences is an AI precision-oncology diagnostics company — whole-exome and whole-transcriptome tumor profiling plus blood-based testing — that IPO'd June 2025 at \$21.00 and now trades \$18.33, ~13% below its offer. FY2025 revenue grew 97% to \$812M, gross margin expanded 47%→65%, and unlike most diagnostics scalers it is already free-cash-flow positive with +\$138M adj-EBITDA, near GAAP breakeven. The DCF asks whether the margin inflection holds as growth steps down to a +24% guide. Weighted fair value \$23.63, ~29% above spot — base ~fair, the upside in the data-moat tail.

PROBABILITY-WEIGHTED EXPECTED VALUE

\$23.63 expected fair value today  
+26.0% vs spot \$18.75

FORWARD COMPOUNDED VALUE

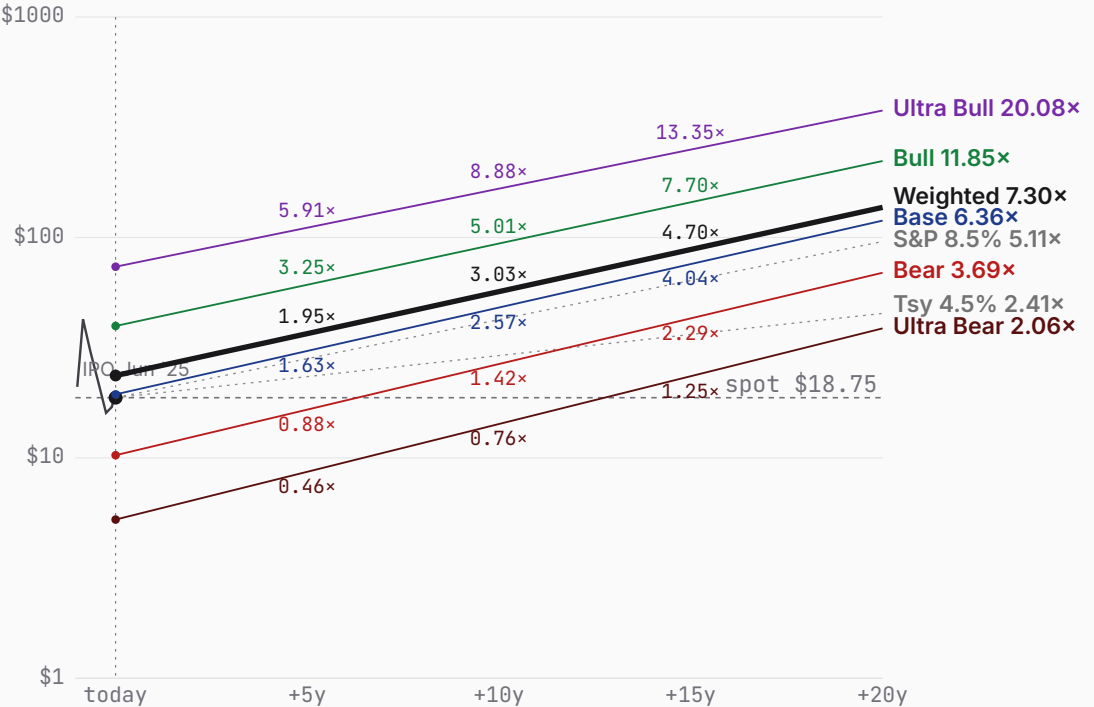
| +5y        | +10y       | +15y       | +20y       |
|------------|------------|------------|------------|
| \$36.62    | \$56.81    | \$88.16    | \$136.92   |
| 1.95x spot | 3.03x spot | 4.70x spot | 7.30x spot |

WEIGHTING RATIONALE

- Ultra Bear 13% Growth ~6.6%, the reimbursement true-up reverses, margins stay near zero — DCF \$5.25.
- Bear 27% Decelerates to ~11.9%, pricing pressure bites, the multiple re-rates down — DCF \$10.28.
- Base 33% ~16.7% growth, margin inflection holds to 21% owner-FCF — DCF \$19.41, roughly fair at spot.
- Bull 18% ~22% hypergrowth, the data moat drives operating leverage — DCF \$39.65.
- Ultra Bull 9% ~27% growth, oncology-data standard, software-like 35% margins — DCF \$73.64.

Bull (18%) + Ultra Bull (9%) together contribute \$13.76 — 58% of the \$23.63 expected value despite 27% combined probability. Today's spot (\$18.75) sits 21% below the weighted expected; forward-weighted value crosses spot between +5y and +10y.

PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD



| ULTRA BEAR                                   | \$5.25         | BEAR                                           | \$10.28        | BASE                                          | \$19.41       | BULL                                          | \$39.65         | ULTRA BULL                                   | \$73.64         |
|----------------------------------------------|----------------|------------------------------------------------|----------------|-----------------------------------------------|---------------|-----------------------------------------------|-----------------|----------------------------------------------|-----------------|
|                                              | -72.0% vs spot |                                                | -45.2% vs spot |                                               | +3.5% vs spot |                                               | +111.5% vs spot |                                              | +292.7% vs spot |
| CAGR +6.6% WACC 10.5%<br>CAGR +6.6% Prob 13% |                | CAGR +11.9% WACC 10.0%<br>CAGR +11.9% Prob 27% |                | CAGR +16.7% WACC 9.5%<br>CAGR +16.7% Prob 33% |               | CAGR +22.1% WACC 9.0%<br>CAGR +22.1% Prob 18% |                 | CAGR +26.8% WACC 8.5%<br>CAGR +26.8% Prob 9% |                 |
| Growth collapses; true-up reverses           |                | Decelerates; multiple ran ahead                |                | Solid growth, the margin inflection holds     |               | Hypergrowth + data-moat leverage              |                 | Becomes the oncology-data standard           |                 |

PROBABILITY WEIGHTS

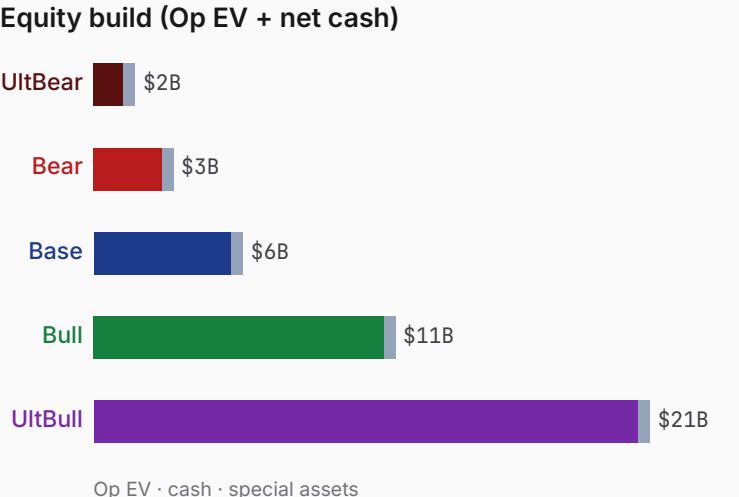
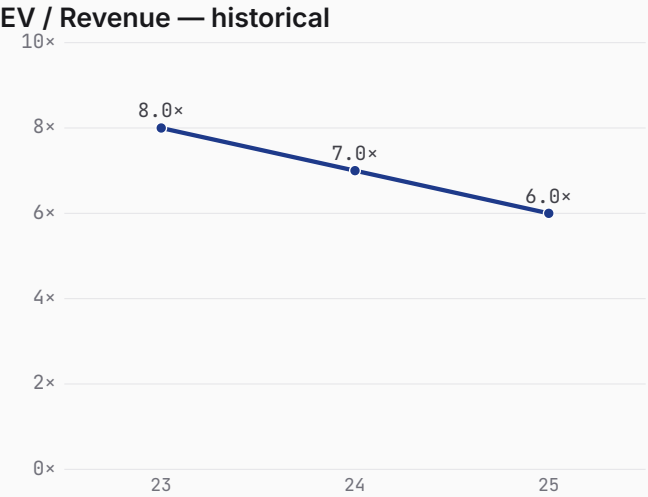
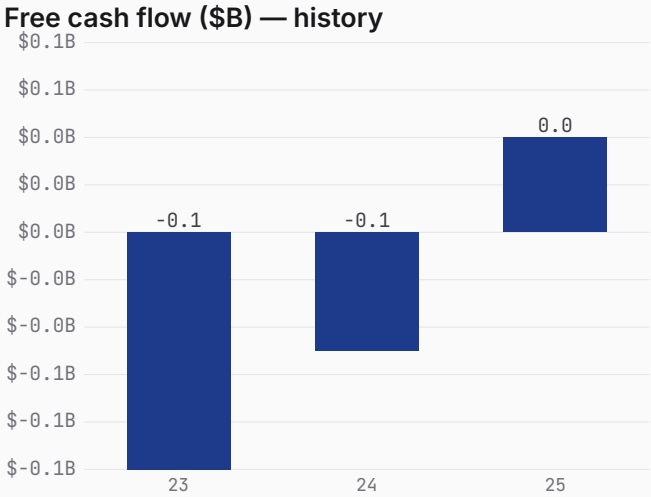
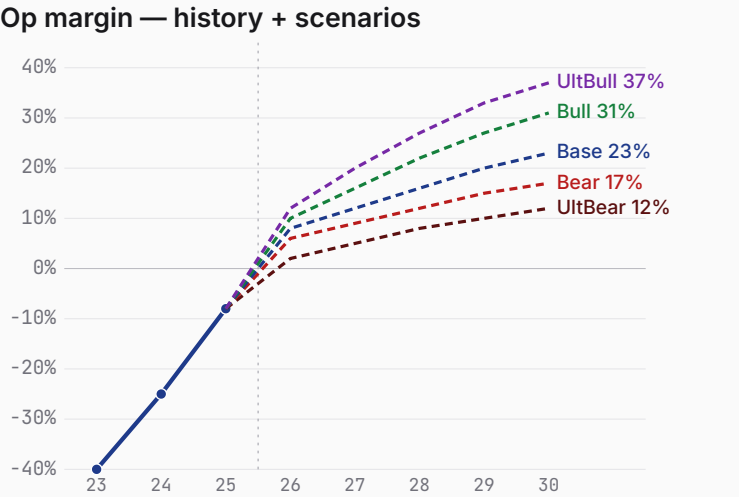
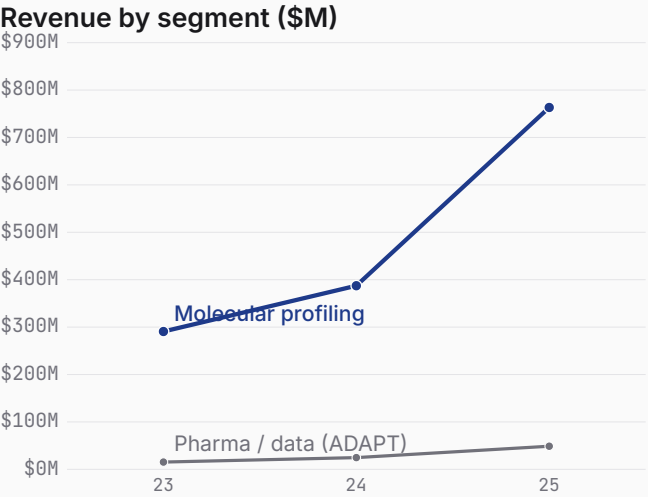
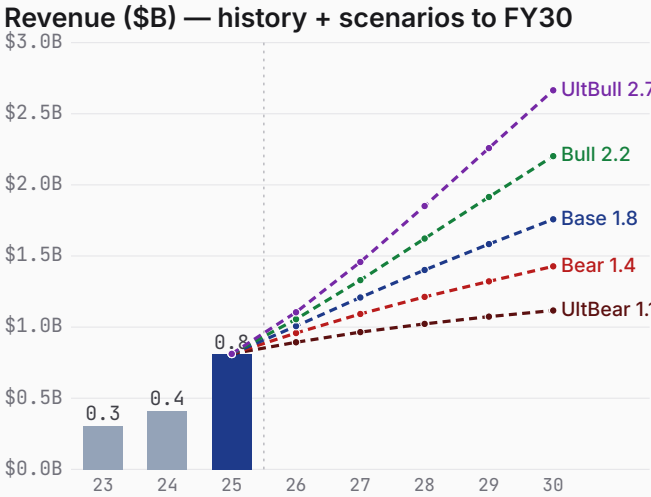
Ultra Bear 13% Bear 27% Base 33% Bull 18% Ultra Bull 9% · Weighted expected \$23.63 (+26.0% vs spot)

| ULTRA BEAR                                                                                                                                                                                                                                                                           | \$5.25         | BEAR                                                                                                                                                                                                                                                                 | \$10.28        | BASE                                                                                                                                                                                                                                                                       | \$19.41       | BULL                                                                                                                                                                                                                                                                                         | \$39.65         | ULTRA BULL                                                                                                                                                                                                                                                                                 | \$73.64         |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------|
|                                                                                                                                                                                                                                                                                      | -72.0% vs spot |                                                                                                                                                                                                                                                                      | -45.2% vs spot |                                                                                                                                                                                                                                                                            | +3.5% vs spot |                                                                                                                                                                                                                                                                                              | +111.5% vs spot |                                                                                                                                                                                                                                                                                            | +292.7% vs spot |
| Probability 13%                                                                                                                                                                                                                                                                      |                | Probability 27%                                                                                                                                                                                                                                                      |                | Probability 33%                                                                                                                                                                                                                                                            |               | Probability 18%                                                                                                                                                                                                                                                                              |                 | Probability 9%                                                                                                                                                                                                                                                                             |                 |
| Growth collapses; true-up reverses                                                                                                                                                                                                                                                   |                | Decelerates; multiple ran ahead                                                                                                                                                                                                                                      |                | Solid growth, the margin inflection holds                                                                                                                                                                                                                                  |               | Hypergrowth + data-moat leverage                                                                                                                                                                                                                                                             |                 | Becomes the oncology-data standard                                                                                                                                                                                                                                                         |                 |
| WHY 13%                                                                                                                                                                                                                                                                              |                | WHY 27%                                                                                                                                                                                                                                                              |                | WHY 33%                                                                                                                                                                                                                                                                    |               | WHY 18%                                                                                                                                                                                                                                                                                      |                 | WHY 9%                                                                                                                                                                                                                                                                                     |                 |
| Requires the volume engine to stall near term and the true-up to be a one-off rather than a recurring feature of payer settlements. Possible given the steep step-down already guided, but the cash-positive base makes outright collapse less likely than for a pre-breakeven peer. |                | The honest deceleration case — going from +97% to a +24% guide is a steep step, and a further undershoot plus pricing pressure is plausible. Weighted at 27% as the most credible downside if the data moat proves shallower than bulls assume.                      |                | Centered on management hitting the FY26 guide and sustaining the volume KPI while margins keep inflecting — the continuation of what the last two years already showed. Carries the plurality 33% weight as the most likely path.                                          |               | Needs growth to stay above 20% well past the guide and the gross-margin gains to keep compounding into operating leverage. Plausible if the data asset is a genuine cornered resource, but it asks the company to outrun a steep deceleration; 18%.                                          |                 | The full platform win — durable hypergrowth, a true data-network effect, and software-like margins together. Each is individually demanding and the combination is a tail, so it carries 9% — meaningful upside optionality, not a central expectation.                                    |                 |
| WHAT HAPPENS                                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                         |                | WHAT HAPPENS                                                                                                                                                                                                                                                               |               | WHAT HAPPENS                                                                                                                                                                                                                                                                                 |                 | WHAT HAPPENS                                                                                                                                                                                                                                                                               |                 |
| Revenue compounds only ~6.6% as test-volume growth stalls and reimbursement true-ups reverse rather than recur. The ~\$33M of 2025 revenue tied to prior-year reimbursement catch-ups proves non-repeatable, and the reported growth rate is exposed as flattered.                   |                | Revenue grows ~11.9% — well below the +24% guide — as competition pressures per-test pricing and the easy share gains slow. The margin inflection partly holds, reaching mid-teens owner-FCF, but not fast enough to outrun a contracting multiple.                  |                | Revenue compounds ~16.7%, roughly in line with the guided range, as clinical test volume grows around 20% and Caris Assure and MI Cancer Seek add incremental lives. The 47%-to-65% gross-margin move continues toward 21% owner-FCF as fixed lab and data costs leverage. |               | Revenue compounds ~22% as the proprietary whole-exome/transcriptome data asset and the ADAPT platform drive both test volume and pharma partnership revenue, while comprehensive profiling takes share from narrower NGS panels.                                                             |                 | Revenue compounds ~27% as Caris establishes its molecular database as the reference standard for oncology decision-making, with comprehensive profiling, blood-based MRD and the ADAPT AI layer compounding into a network where more tests improve the data and the data wins more tests. |                 |
| Margins barely move off the floor, holding near 0% owner-FCF as price competition from Tempus, Guardant and Foundation erodes the gross-margin gains. The ~6.5x sales multiple compresses hard against a decelerating, low-margin base. DCF lands at \$5.25, down 71%.               |                | The market re-rates a ~6.5x-sales name toward something closer to a low-double-digit grower, and the IPO-era premium unwinds. At a 4%-to-15% margin path the DCF is \$10.28, down 44%. The setup is a quality business that was simply priced ahead of its delivery. |                | This is the modal outcome — a real growth-plus-margin story that delivers, not a moonshot. At \$19.41 the DCF sits just above the \$18.33 price, so the base case is roughly fair. The market is paying about what the business is worth if it simply executes the plan.   |               | Operating leverage on a fixed data and lab base pushes owner-FCF toward 29%, software-like for diagnostics. The market rewards durable hypergrowth plus a widening margin with an expanded multiple. DCF reaches \$39.65, up 116%, as the data-moat thesis starts to show in the financials. |                 | Owner-FCF margins reach ~35%, approaching software economics as the data and AI layer scales near-zero-marginal-cost. At \$73.64 the DCF is triple the price. This is the platform outcome where the cornered data resource and scale economics fully express.                             |                 |

Caris Life Sciences business snapshot

Bear \$10.28 Base \$19.41 Bull \$39.65

FY23-FY25 history + FY26-FY30 scenario projections · fiscal years end Dec 31 · FY2025 + Q1'26 results (IPO Jun'25)



Sources: Caris Life Sciences FY2025 results + Q1'26 (CIK 2019410), IPO 424B4 (Jun 2025), FY26 guidance. Revenue as a growth-rate path off FY25 (\$812M, +97%); FCF = revenue x an SBC-adjusted owner-FCF margin (already positive; SBC ~\$70M deducted); Gordon terminal at scenario WACC. Pre-IPO history/EV-rev are notional. EV/sales vs precision-diagnostics peers.

Caris Life Sciences 7 Powers · the moat, scored

Bear \$10.28 Base \$19.41 Bull \$39.65

Arena. Comprehensive molecular diagnostics and oncology data — Caris competes with Tempus, Guardant, Roche's Foundation Medicine, Natera and Exact Sciences for tumor-profiling and liquid-biopsy volume.

POWER AUDIT  
dominant-power durability: medium

POWER AUDIT · 7 POWERS

|                                       |                                                                                                                                        |
|---------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------|
| Scale Economies                       | Fixed lab and data-platform costs leverage as test volume compounds; +97% growth drove gross margin 47% to 65%.                        |
| Network Economies                     | More tests enrich the molecular database, which sharpens the ADAPT AI and wins more clinician and pharma demand.                       |
| Counter-Positioning                   | Whole-exome/transcriptome depth is hard for pure-NGS-panel incumbents to match without re-tooling, but not a true business-model trap. |
| Switching Costs                       | Clinician workflow integration and longitudinal patient data create some stickiness, modest versus entrenched EHR or pathway tools.    |
| Branding                              | Growing reputation in oncology decision support, but clinical results and reimbursement, not brand, drive adoption.                    |
| Cornered Resource · thesis leans here | The proprietary whole-exome/transcriptome dataset plus the ADAPT platform — the deepest differentiator and the basis of the data moat. |
| Process Power                         | Integrated profiling-plus-AI workflow is hard to replicate quickly, but rivals are closing on capability.                              |

PEER SET

|                                                                                      |                               |
|--------------------------------------------------------------------------------------|-------------------------------|
| Tempus (TEM)                                                                         | 25% gr · ~6x sales            |
| AI-precision-oncology data peer; near-breakeven, the direct comp                     |                               |
| Guardant Health                                                                      | 20% gr · -10% mgn · ~6x sales |
| Liquid-biopsy leader, still loss-making, overlaps in blood-based testing             |                               |
| Foundation Medicine                                                                  | · division                    |
| Roche-owned tumor-profiling division; deep-pocketed incumbent, not standalone-priced |                               |
| Natera                                                                               | 30% gr · ~9x sales            |
| Genetic testing and MRD; faster-growing, ~breakeven, richer multiple                 |                               |

THREAT VECTORS · FALSIFIERS

|                                                                                                                                                  |
|--------------------------------------------------------------------------------------------------------------------------------------------------|
| scale/pricing · Tempus, Guardant, Foundation                                                                                                     |
| falsifier: Per-test reimbursement or list pricing falls under competitive and payer pressure, halting the gross-margin inflection.               |
| Cornered Resource · Tempus, Roche, Natera                                                                                                        |
| falsifier: A rival assembles a comparable comprehensive-profiling dataset, commoditizing the data moat before scale and network effects lock in. |
| Network Economies · well-capitalized incumbents                                                                                                  |
| falsifier: Volume growth stalls below ~20%, so the data and scale flywheel never reaches the operating leverage the bull case needs.             |

COMPETITIVE READ

Caris is originating a plausible cornered resource — a proprietary whole-exome/transcriptome dataset feeding the ADAPT AI — with scale and network economics building as volume compounds, already visible in the 47%-to-65% gross-margin move. Durability is medium, not high — Foundation has Roche's balance sheet, Tempus and Natera are building comparable data, and reimbursement pricing is the shared vulnerability. The falsifier the bull must clear is sustained ~20%+ volume growth with the gross margin holding 65%+; if growth decelerates below that or pricing erodes margin, the moat commoditizes before it locks in.

Caris Life Sciences show your work

Bear \$10.28 Base \$19.41 Bull \$39.65 · Weighted \$23.63 (+26.0%)

| ULTRA BEAR\$5.25                          |         |         |         |        | BEAR\$10.28                               |         |         |         |        | BASE\$19.41                               |         |         |          |        | BULL\$39.65                               |         |          |          |        | ULTRA BULL\$73.64                         |          |          |          |        |
|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|---------|---------|--------|-------------------------------------------|---------|---------|----------|--------|-------------------------------------------|---------|----------|----------|--------|-------------------------------------------|----------|----------|----------|--------|
| ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |         |         |        | ASSUMPTIONS                               |         |         |          |        | ASSUMPTIONS                               |         |          |          |        | ASSUMPTIONS                               |          |          |          |        |
| 5y revenue CAGR (%)                       |         |         |         |        | +6.6                                      |         |         |         |        | +11.9                                     |         |         |          |        | +16.7                                     |         |          |          |        | +22.1                                     |          |          |          |        |
| Year-5 op margin (%)                      |         |         |         |        | 12.0                                      |         |         |         |        | 17.0                                      |         |         |          |        | 23.0                                      |         |          |          |        | 31.0                                      |          |          |          |        |
| WACC (%)                                  |         |         |         |        | 10.5                                      |         |         |         |        | 10.0                                      |         |         |          |        | 9.5                                       |         |          |          |        | 9.0                                       |          |          |          |        |
| Terminal growth (%)                       |         |         |         |        | 3.0                                       |         |         |         |        | 3.5                                       |         |         |          |        | 4.0                                       |         |          |          |        | 4.5                                       |          |          |          |        |
| 5y revenue CAGR (%)                       |         |         |         |        | +6.6                                      |         |         |         |        | +11.9                                     |         |         |          |        | +16.7                                     |         |          |          |        | +22.1                                     |          |          |          |        |
| Starting revenue (\$B)                    |         |         |         |        | 0.81                                      |         |         |         |        | 0.81                                      |         |         |          |        | 0.81                                      |         |          |          |        | 0.81                                      |          |          |          |        |
| Scenario probability (%)                  |         |         |         |        | 13                                        |         |         |         |        | 27                                        |         |         |          |        | 33                                        |         |          |          |        | 18                                        |          |          |          |        |
| 5-YEAR DCF · \$B                          |         |         |         |        | 5-YEAR DCF · \$B                          |         |         |         |        | 5-YEAR DCF · \$B                          |         |         |          |        | 5-YEAR DCF · \$B                          |         |          |          |        | 5-YEAR DCF · \$B                          |          |          |          |        |
| FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin  | FCF     | PV FCF | FY                                        | Rev     | Margin  | FCF      | PV FCF | FY                                        | Rev     | Margin   | FCF      | PV FCF | FY                                        | Rev      | Margin   | FCF      | PV FCF |
| FY26                                      | 0.89    | +2%     | +0.00   | +0.00  | FY26                                      | 0.96    | +6%     | +0.04   | +0.04  | FY26                                      | 1.01    | +8%     | +0.06    | +0.06  | FY26                                      | 1.06    | +10%     | +0.08    | +0.08  | FY26                                      | 1.10     | +12%     | +0.11    | +0.10  |
| FY27                                      | 0.96    | +5%     | +0.03   | +0.02  | FY27                                      | 1.09    | +9%     | +0.08   | +0.06  | FY27                                      | 1.21    | +12%    | +0.12    | +0.10  | FY27                                      | 1.33    | +16%     | +0.19    | +0.16  | FY27                                      | 1.46     | +20%     | +0.26    | +0.22  |
| FY28                                      | 1.02    | +8%     | +0.06   | +0.04  | FY28                                      | 1.21    | +12%    | +0.12   | +0.09  | FY28                                      | 1.40    | +16%    | +0.20    | +0.15  | FY28                                      | 1.62    | +22%     | +0.33    | +0.25  | FY28                                      | 1.85     | +27%     | +0.46    | +0.36  |
| FY29                                      | 1.07    | +10%    | +0.09   | +0.06  | FY29                                      | 1.32    | +15%    | +0.17   | +0.12  | FY29                                      | 1.58    | +20%    | +0.28    | +0.20  | FY29                                      | 1.91    | +27%     | +0.48    | +0.34  | FY29                                      | 2.26     | +33%     | +0.70    | +0.51  |
| FY30                                      | 1.12    | +12%    | +0.11   | +0.07  | FY30                                      | 1.43    | +17%    | +0.21   | +0.13  | FY30                                      | 1.76    | +23%    | +0.37    | +0.23  | FY30                                      | 2.20    | +31%     | +0.64    | +0.41  | FY30                                      | 2.67     | +37%     | +0.93    | +0.62  |
| Σ PV explicit FCF                         |         |         |         |        | +0.20                                     |         |         |         |        | +0.44                                     |         |         |          |        | +1.24                                     |         |          |          |        | +1.81                                     |          |          |          |        |
| + PV terminal (g 3.0%)                    |         |         |         |        | 0.93                                      |         |         |         |        | 2.12                                      |         |         |          |        | 9.64                                      |         |          |          |        | 18.61                                     |          |          |          |        |
| EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |         |         |        | EQUITY BUILD · \$B & PER SHARE            |         |         |          |        | EQUITY BUILD · \$B & PER SHARE            |         |          |          |        | EQUITY BUILD · \$B & PER SHARE            |          |          |          |        |
| Operating EV                              |         |         |         |        | \$1.13B                                   |         |         |         |        | \$2.56B                                   |         |         |          |        | \$10.88B                                  |         |          |          |        | \$20.42B                                  |          |          |          |        |
| + Cash & investments                      |         |         |         |        | \$0.80B                                   |         |         |         |        | \$0.80B                                   |         |         |          |        | \$0.80B                                   |         |          |          |        | \$0.80B                                   |          |          |          |        |
| – Net debt                                |         |         |         |        | \$0.38B                                   |         |         |         |        | \$0.38B                                   |         |         |          |        | \$0.38B                                   |         |          |          |        | \$0.38B                                   |          |          |          |        |
| = Equity value                            |         |         |         |        | \$1.55B                                   |         |         |         |        | \$2.98B                                   |         |         |          |        | \$11.30B                                  |         |          |          |        | \$20.84B                                  |          |          |          |        |
| FY30 shares (M)                           |         |         |         |        | 295                                       |         |         |         |        | 290                                       |         |         |          |        | 285                                       |         |          |          |        | 283                                       |          |          |          |        |
| = Expected per share                      |         |         |         |        | \$5.25                                    |         |         |         |        | \$10.28                                   |         |         |          |        | \$39.65                                   |         |          |          |        | \$73.64                                   |          |          |          |        |
| FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |         |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |         |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |         |          |          |        | FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT |          |          |          |        |
| +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y    | +20y    |        | +5y                                       | +10y    | +15y    | +20y     |        | +5y                                       | +10y    | +15y     | +20y     |        | +5y                                       | +10y     | +15y     | +20y     |        |
| \$8.65                                    | \$14.25 | \$23.47 | \$38.67 |        | \$16.56                                   | \$26.66 | \$42.94 | \$69.16 |        | \$30.56                                   | \$48.10 | \$75.72 | \$119.21 |        | \$61.01                                   | \$93.87 | \$144.42 | \$222.21 |        | \$110.73                                  | \$166.50 | \$250.36 | \$376.45 |        |
| 0.46×                                     | 0.76×   | 1.25×   | 2.06×   |        | 0.88×                                     | 1.42×   | 2.29×   | 3.69×   |        | 1.63×                                     | 2.57×   | 4.04×   | 6.36×    |        | 3.25×                                     | 5.01×   | 7.70×    | 11.85×   |        | 5.91×                                     | 8.88×    | 13.35×   | 20.08×   |        |



Caris Life Sciences People · Opportunity · Context · Deal

Bear \$10.28 Base \$19.41 Bull \$39.65

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

PEOPLE · WHO RUNS / OWNS / FUNDS IT

David D. Halbert · founder-led 18 yrs in seat

44% insider ownership  
HIGH key-person risk

**Capital allocation (realized)**  
IPO'd Jun-2025 at \$21.00, raising ~\$494M gross (23.5M Class A shares); FY2025 cash & equivalents jumped to \$796.3M (from \$64.0M FY24), ~\$418M net cash. The inflection: FY2025 operating cash flow turned positive at +\$83.2M (vs ~\$245.2M FY24) and, against ~\$16.3M capex, free cash flow went positive ~+\$67M near GAAP breakeven. R&D \$101.6M FY25. No dividend; first capital return came post-period — a \$100M buyback authorized Jun-2026. SBC \$70.0M FY25 (up from \$18.6M FY24, IPO-driven), which flatters adjusted EBITDA.

**Incentive alignment**  
FY2025 total compensation ~\$20.35M, ~96% equity/option awards granted around the June 2025 IPO and only ~3.8% (~\$0.77M) base salary — a normal salary, not a nominal \$1. The dominant alignment lever is the founder stake (~44% economic, ~\$2.3B at the FY2025 price), not annual cash pay.

GOVERNANCE FLAGS

- single class of common stock, one vote per share (no dual-class / super-voting) — confirmed across the final 424B4, the post-IPO charter, Form 8-A12B (listed security = plain "common stock"), the 10-K Exhibit 4.2, the proxy share count, and SEC XBRL; the Class A/B 10-vote language existed only in the draft S-1 and was dropped before the IPO
- founder David Halbert is the largest holder at ~44.6% economic = ~44.6% of the vote (single-class) — significant influence, below an outright majority; insiders together ~66%
- combined Founder + Chairman + CEO (Halbert), with a lead independent director (Peter Castleman) as the counterweight
- the IPO prospectus used conditional "may become a controlled company" language (never an affirmative claim); governance is run with a majority-independent board (8 of 10), fully independent Audit + Compensation committees, and no standing nominating committee (nominations by the independent directors)
- related-party: aircraft agreements with Halbert-affiliated entities (Caris Air), ~\$1.6-2.1M/yr net; co-founder Jon Halbert on the board since 2014

PEOPLE READ

Founder-Chair-CEO Halbert is the largest holder at ~44.6% on a clean single-class one-vote register (no super-voting — the draft S-1's dual-class was dropped before the IPO), giving significant influence below an outright majority; the board keeps fully-independent Audit/Comp, 8-of-10 independence and a lead independent director, and he is aligned via the stake + a fresh FCF inflection + a new \$100M buyback — with the combined Chair/CEO, the ~44.6% concentration, and a Halbert-affiliated aircraft related-party the offsets.

THE FOUR LEGS

**People**  
observable composite · 1-5

**Opportunity**  
The scenario distribution · the Page-3 business snapshot · the Arthur Indicator

**Context**  
The 7 Powers analysis (Power Audit)

**Deal**  
Open-market purchase = the deal: entry price vs. the scenario distribution (the +28.9% finding) + position sizing.



Caris Life Sciences supporting analysis · disclaimers · glossary

Bear \$10.28 Base \$19.41 Bull \$39.65

PUSHBACK · WHY THE BASE CASE IS TOO HARSH

- 1 **Already FCF-positive, unlike Tempus**

Caris is FCF-positive at GAAP breakeven with +97% growth, where the similarly-priced Tempus was barely breakeven — same multiple, further along.
- 2 **The margin inflection is real**

Gross margin went 47%→65% in a year and Q1'26 posted positive GAAP operating income — observed operating leverage, not promised.
- 3 **Comprehensive profiling is differentiated**

Whole-exome + whole-transcriptome is deeper than rivals' pure-NGS panels, and the data asset compounds — a cornered resource as volume scales.
- 4 **Priced below the IPO**

At \$18.33 versus a \$21.00 offer eight months ago, the base case is roughly fair and the hypergrowth and data-moat tails are not richly priced in.
- 5 **The true-up flatters the trend**

About \$33M of 2025 revenue was prior-year reimbursement catch-ups, and SBC of ~\$70M flatters adj-EBITDA — the underlying organic, owner-economics trend is softer than the headlines.

FALSIFICATION TRIGGERS

|                                                                                                                                                      |                                                                                                                                                   |                                                                                                                                                                              |
|------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Bull validation</b></p> <p>Test volume sustaining ~20%+ past the FY26 guide; gross margin holding 65%+ and converting to rising owner-FCF.</p> | <p><b>Bear validation</b></p> <p>Growth undershooting the +24% guide; per-test pricing eroding; the 2025 reimbursement true-up not recurring.</p> | <p><b>Reframe needed</b></p> <p>Margin gains reversing, or SBC/dilution making owner-FCF negative despite positive adj-EBITDA — the Tempus 'priced-for-perfection' read.</p> |
|------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

DISCLAIMERS · PLEASE READ BEFORE USING THIS DOCUMENT

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GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

|                                                                                                                                                                               |                                                                                                                                                                                |                                                                                                                                                                                 |
|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Comprehensive molecular profiling</b> — Whole-exome (all coding genes) + whole-transcriptome (all RNA) tumor sequencing — broader than rivals' targeted NGS panels.</p> | <p><b>MI Cancer Seek</b> — Caris's combined DNA/RNA tumor-profiling assay; reimbursement reach is measured in covered lives (&gt;225M).</p>                                    | <p><b>Caris Assure</b> — The blood-based liquid-biopsy line, including minimal-residual-disease (MRD) monitoring — detecting cancer DNA in blood to track recurrence.</p>       |
| <p><b>Test-volume KPI</b> — Clinical test volume growth (~20% guided) — the operating metric that drives diagnostics revenue, watched independently of price/mix.</p>         | <p><b>Adj-EBITDA vs owner-FCF</b> — Adj-EBITDA adds back ~\$70M of stock comp; owner-FCF treats SBC as a real cost, so it is the more conservative read of cash economics.</p> | <p><b>Reimbursement true-ups</b> — Catch-up revenue booked when payers settle prior-period claims; ~\$33M in 2025 — non-recurring, so it flatters the reported growth rate.</p> |